

PAYROLL ACCOUNTING (125)

—Secondary—

STATE – 2019

Multiple Choice & Short-Answer Section:

Multiple Choice (20 @ 2 points each) _____ (40 points)

Short-Answer (18 @ 2 points each) _____ (36 points)

Production Portion:

Job 1: Payroll Register (46 @ 1 point each) _____ (46 points)

Job 2: Payroll Entries (26 @ 1 point each) _____ (26 points)

Job 3: Employee Paystub and Paycheck (23 @ 1 point each) _____ (23 points)

TOTAL POINTS _____ ***(171 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation

No more than sixty (60) minutes testing time

No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Payroll Clerk and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals
- Assume employees earn overtime at a rate of 1.5 times their pay for any hours worked over 40 in a week unless otherwise instructed
- All time calculations are rounded to the nearest quarter hour
- Use 6.2% for Social Security Tax on the first \$118,500 in wages
- Use 1.45% for Medicare Tax for all wages
- Use 5.4% for State Unemployment Tax and 0.8% for Federal Unemployment Tax (\$7,000 ceiling)
- Assume that no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. The total earnings of an employee for a pay period is called _____.
 - a. take-home pay
 - b. net pay
 - c. pay, net of taxes
 - d. gross pay

2. George's salary for the year is \$62,340. What is George's salary per pay period if he is paid bi-weekly?
 - a. \$1,198.85
 - b. \$2,397.69
 - c. \$2,493.60
 - d. \$2,597.50

3. Minimum wage, overtime, and safety for minors in the workplace are set by which Federal act?
 - a. Federal Insurance Contributions Act
 - b. Equal Employment Opportunity Act
 - c. Fair Labor Standards Act
 - d. Federal Labor Standards Act

4. At Professional Business Associates employees earn an hourly rate of \$12.75. They earn overtime for any hours they work over 40 hours in a week. The hours worked by an employee in one week are shown below. What was this employee's earnings for the week?

DAY	HOURS
Monday	9 3/4
Tuesday	8 1/2
Wednesday	10 1/4
Thursday	8
Friday	9 1/2

- a. \$ 88.50
 - b. \$510.00
 - c. \$586.50
 - d. \$624.75

5. When journalizing the employer's payroll taxes, which account should be *debited*?
 - a. Salaries Expense
 - b. Payroll Taxes Expense
 - c. Cash
 - d. Wages Payable

6. Federal Income Tax is paid by _____.
 - a. the employee
 - b. the employer
 - c. both the employee and the employer
 - d. neither the employee nor the employer

7. If an employee has 24 pay periods in the year, this employee is said to be paid _____.
 - a. semiannually
 - b. biweekly
 - c. semi-monthly
 - d. monthly

8. The source document for preparing the payroll entries each pay period is _____.
 - a. employee earnings record
 - b. Form 941
 - c. payroll register
 - d. payroll ledger

9. The Salary Expense account is used to record the _____.
 - a. employer's payroll tax liabilities
 - b. employer's state tax liabilities
 - c. employee's total net earnings
 - d. employee's total gross earnings

10. The federal form that states the marital status of the employee, the number of allowances an employee wants to claim, and must be filled out before the employee can receive a paycheck is _____.
 - a. Form 941
 - b. W-4
 - c. W-2
 - d. Form 827

11. An employee who punched in at 7:58 am and punched out at 7:06 pm and is not paid for their half hour lunch works how many hours?
 - a. 10 $\frac{1}{2}$ hours
 - b. 10 $\frac{3}{4}$ hours
 - c. 11 hours
 - d. 11 $\frac{1}{2}$ hours

12. When health insurance premiums are submitted to the health insurance company, the journal entry would include a _____.
 - a. debit to Health Insurance Premiums Payable and a credit to Cash
 - b. debit to Cash and a credit to Health Insurance Premiums Payable
 - c. debit to Cash and a credit to Health Insurance Premiums Payable
 - d. debit to Health Insurance Expense and a credit to Health Insurance Premiums Payable

13. The fewer allowances an employee claims, the _____.
 - a. higher their gross pay will be per pay period
 - b. lower their gross pay will be per pay period
 - c. more Federal Income taxes will be withheld per pay period
 - d. less Federal Income taxes will be withheld per pay period

14. The accumulated earnings column on the Employee's Earnings Record is _____.
 - a. the employee's take home pay to date
 - b. the employee's gross earnings to date
 - c. the employee's gross earnings for the pay period
 - d. employer's net earnings to date

15. _____ helps the federal government provide health insurance for those that qualify.
 - a. Social Security Tax
 - b. Medicare Tax
 - c. Federal Income Tax
 - d. Federal Unemployment Tax

16. Which of the following taxes is *not* withheld from an employee's pay?
 - a. Federal Income Tax
 - b. Social Security Tax
 - c. FUTA Tax
 - d. Medicare Tax

17. Which federal law allows an employee to take time off for the birth of child or a serious illness of a family member?
 - a. FLSA
 - b. FLAS
 - c. FMLA
 - d. FLMA

18. What is the total amount of FICA tax that an employer needs to remit in 2018 for an employee earning \$52,000 for the year?
 - a. \$ 754
 - b. \$3,224
 - c. \$3,978
 - d. \$7,956

19. Employees who are paid per day are paid on a _____.
 - a. per diem basis
 - b. bonus plan
 - c. piece-rate plan
 - c. commission plan

20. After posting the Salaries Expense transaction and the Payroll Taxes Expense transaction, there should be credit(s) to the Social Security Tax Payable account in the general ledger.
- one
 - two
 - three
 - four

SHORT-ANSWER

1. Curtis Ramirez is paid an hourly rate of \$12.40 and works 8 hours per day. Curtis also receives an incentive of \$0.78 per item he assembles over 160 in a given work day. He is *not* penalized for anytime he does not reach 160 units per day. Calculate Curtis' regular pay, his incentive pay, and his gross pay for the week. Curtis's production per day is as follows:

MONDAY	TUESDAY	WEDNESDAY	THURSDAY	FRIDAY
158	182	201	152	194

Curtis' total regular pay _____

Curtis' incentive pay _____

Curtis' total gross earnings _____

2. A. Hamilton earns an annual salary of \$66,300 for a 40-hour workweek. Calculate what he receives in each of the following pay situations:

Hourly pay rate _____

Overtime pay rate _____

Weekly gross earnings _____

Bi-weekly gross earnings _____

Semi-monthly gross earnings _____

3. Jenyka is a waitress at a local restaurant. On a typical Saturday night, she waits on 15 groups of customers who spend an average of \$170 per group. Her tips average 18% of the total amount spent by all the groups. What were Jenyka's tip earnings for Saturday?

4. Jackson has been offered a new job that pays \$64,580 with these benefits: \$4,200 in pension contributions, \$620 in free parking, \$2,483 in paid vacation, \$2,123 in paid holidays, \$3,600 in health insurance. Jackson's job expenses for the new job total \$1,890. What are Jackson's net job benefits?
- _____
5. Javier earns \$18.50 per hour working as a technician. He is paid a shift deferential of 15% for hours worked after 9 PM. Last week, Javier worked from 6 pm to 2 pm, Monday through Friday. What is Javier's gross wages for the pay period?
- _____
6. Lindsey works as a salesperson at a local retail store. She makes \$200 per week and is paid a 15 percent commission on any sales she makes over \$900 per week. During the month Lindsey had \$1,200 in sales during week one, \$1,470 during week two, \$1,680 during week three, and \$1,530 during week four. What are Lindsey's gross earnings for the month?
- _____
7. Beautiful Construction estimates that its laborers will collectively earn \$1,300,000 next year and its skilled workers will earn \$4,880,600. The firm pays the following rates for workers' compensation insurance: \$0.78 per \$100 of wages for the laborers and \$1.32 per \$100 of wages for its skilled workers. Compute the estimated premiums for the laborers and skilled workers.
- | | |
|-----------------|-------|
| Laborers | _____ |
| Skilled Workers | _____ |
8. Carlton works for Professional Business Associates. His annual salary is \$69,670. Carlton is paid semi-monthly.
- a. What is Calton's per pay period social security deduction? _____
- b. What Carlton's per pay period Medicare deduction? _____
- c. If Carlton has \$9,540.60 taken out of his pay annually for Federal Income Tax, how much is taken out of his gross earnings each pay period? _____
- d. What is Carlton's net pay each pay period? _____

Complete the payroll register below. Hours worked for the pay period are listed below for each employee. Federal Income Tax has been entered for you. The State Income Tax rate is 7.5 percent.

Employee No.	Pay Rate	Hours Worked	Health Insurance
1	\$12.45	40	\$70.00
2	15.50	48	90.00
3	13.60	42	80.00
4	18.20	44	-0-

[illegible]

Use the payroll register above for the current pay period ending on February 14, 2019. In the General Journal provided, journalize the payroll transactions for the employees' salary expense and the employer's payroll taxes expense.

[illegible]

JOB 3—EMPLOYEE PAY STUB AND PAYCHECK

Complete the paystub and paycheck for the current pay period of August 30, 2018, for Ryan Bakership. He had \$201.37 taken out for Federal income tax this pay period. Ryan also has Health Insurance at \$85 and Retirement at \$50 taken from his gross earnings each pay period. Ryan's year-to-date totals from the August 15 pay period are listed below. Complete his paystub for the current pay period and write out his paycheck using your ID number as the authorized signature.

August 15 year-to-date:

Total Earnings	\$43,300
Federal Income Tax	5,196
Social Security Tax	2,685
Medicare Tax	628
Health Insurance	1,360
Retirement	800

EMPLOYEE:				DATE:		
TYPE	HOURS	RATE	GROSS PAY	DEDUCTIONS	CURRENT	YTD
Regular	80	\$12.00		Federal Income Tax		
Overtime	12	\$18.00		Social Security Tax		
Current Total Earnings _____				Medicare Tax		
YTD Total Earnings _____				Health Insurance		
				Retirement		
				Totals		

PAYROLL ACCOUNT _____

PAY TO THE ORDER OF _____

Anaheim National Bank
Convention Way, Anaheim, CA 34870

:08754236: 900438926

66-768/333
NO. 1098

\$ _____

Dollars